Evaluating Box Office Performance Within the Context of Studio Consolidation in Hollywood

1.1 INTRODUCTION:

On October 6th, 2026, Paramount Skydance completed an unprecedented acquisition of rival studio Warner Bros. Discovery. The transaction attracted scrutiny from regulators, the media, and artists, but it also underpinned a previously overlooked trend of consolidation amongst the major production shops within the last few decades. For example, The Walt Disney Company purchased 20th Century Fox in 2019, less than a decade after Comcast's merger with NBCUniversal. Likewise, from 2010 to 2025, the value of the ten largest M&A deals in the industry exceeded $377 billion, up nearly 25% from the previous 15 years. When excluding the outsized AOL-Time Warner merger in 2001, the increase becomes even more stark. It is also fairly-known that there are certain inputs into a film that make it more likely to succeed at the box office, such as a strong marketing budget and casting an acclaimed director, and many of these inputs advantage large studios with greater spending power. What is more unfamiliar, though, is if or how increased market concentration has impacted any of these variables in their effect on a film's performance at the box office. This paper will attempt to examine this unknown via a two-step process. First, a model will be constructed to discern the variables that have predictive power on domestic box office revenues. These variables include common inputs such as production budget, as well as idiosyncratic ones like a score assigned to a film's cast and crew. Next, the change in payoff to each of these variables over the last fifteen years, as the market has become increasingly concentrated, will be analyzed.